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| **TO** | [Client contact], Cost Control |
| **SUBJECT** | **Proposal: a 12-week pilot to measure and reduce steel waste** |

*(Written so you can forward it to your management. Figures in USD; placeholders marked "assumed" will be replaced with your data in week 1.)*

## What we propose

You told us you can't see how much steel is wasted, why, or what is sitting unused that another project could use. Before any AI can improve nesting, that has to be measured. We propose a 12-week pilot that does three things:

1. **Shows where your steel goes.** For each project, how much is wasted and why: unavoidable, leftover that could have been reused, extra bought, or lost to drawing changes.
2. **Suggests reuse.** Before new steel is bought or cut, it checks offcuts and surplus across all projects and suggests matches. Your nesting team accepts or rejects every suggestion. Nothing changes in Strumis, and no purchase or cost entry is made automatically.
3. **Tests the question your nesting team raised:** is manual nesting really better than the software's automatic option? We will test it fairly, using your own past jobs.

We do not propose replacing your nesting team or buying new nesting software. The other areas you listed (drawing revisions, yard, trailers, equipment) are ranked in our full report. Most depend on the data this pilot creates.

## What you will see, and when

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| **Week 3** | a first picture of where waste comes from, on 2–3 projects. |
| **Week 4** | a signed baseline, so every later result is measured against facts. |
| **Week 7** | the savings the system would have found on past jobs. |
| **Week 12** | results on two live projects, and a clear go/no-go. |

At each of these points you can stop.

## What we need from you

- Read-only access to your Strumis data for the last 6–12 months (via your IT team).
- A named person from the nesting team for about 2 hours a week.
- A decision from Cost Control and Finance on one rule: whether leftover material can move between projects, and how it is costed.
- Two projects for the live phase.
- Decisions within 3 business days at each gate.

## What it costs

- **Pilot: $120,000 fixed**, paid in four parts: 30% at start, 25% when the baseline is signed (week 4), 25% after the week-7 results, 20% at the final review. If we stop early, you pay only for the stages reached.
- **After the pilot, only if you continue:** $84,000 per year for running and support.

## What it could be worth (our estimate, to be replaced with your data)

On your figures, your total waste costs roughly $4 million a year. **Every 1 percentage point of steel we help avoid buying is worth about $480,000 a year.** If the pilot finds 1 point, the savings cover the pilot and the first year's running cost within about a year, and in later years you keep around $400,000 net. If it finds only half a point, the pilot is not worth continuing, and the checkpoints are there so we say so rather than carry on.

## Next step

A 30-minute call to confirm four things: data access, how "wastage" is calculated, whether leftover material can be shared between projects, and who approves the pilot.